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RME-2105 Term Paper

Comparative Analysis of Macroeconomic Performance:

Bangladesh and Ghana (2018-2024)

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Submission Date:	February 12, 2026

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Introduction

This term paper presents a comparative analysis of the macroeconomic performance of two developing nations, Bangladesh and Ghana, over the period from 2018 to 2024. Despite their geographical distance and distinct economic structures—Bangladesh being a South Asian manufacturing and remittance-driven economy, and Ghana a West African resource-rich nation—both countries have pursued ambitious development agendas. The analysis will focus on key macroeconomic indicators, including Gross Domestic Product (GDP), inflation, trade, and external sector stability, to highlight their respective strengths, vulnerabilities, and overall economic trajectories during this seven-year period [1] [2].

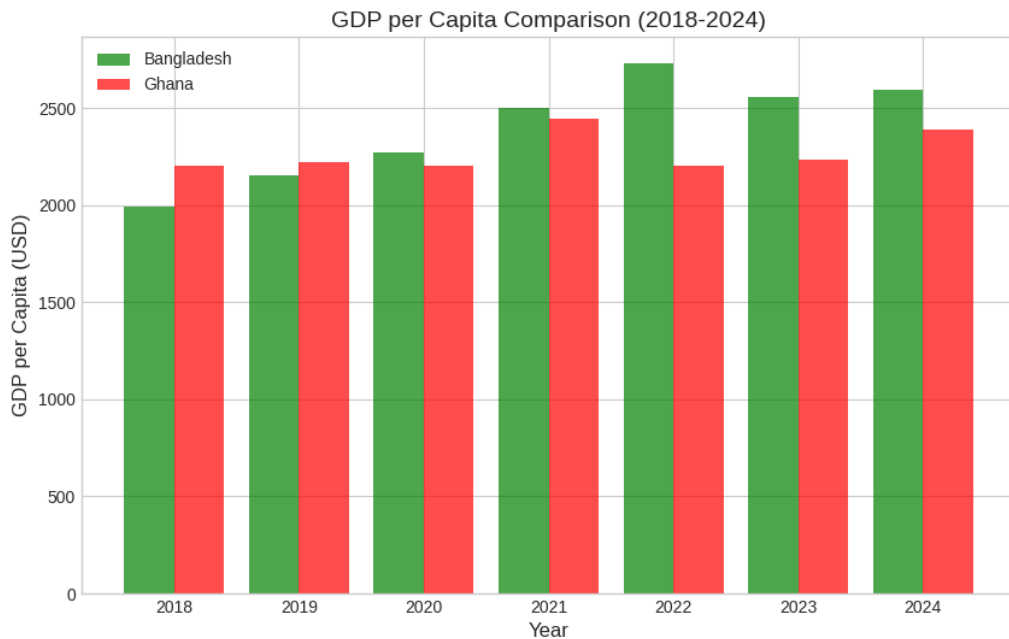
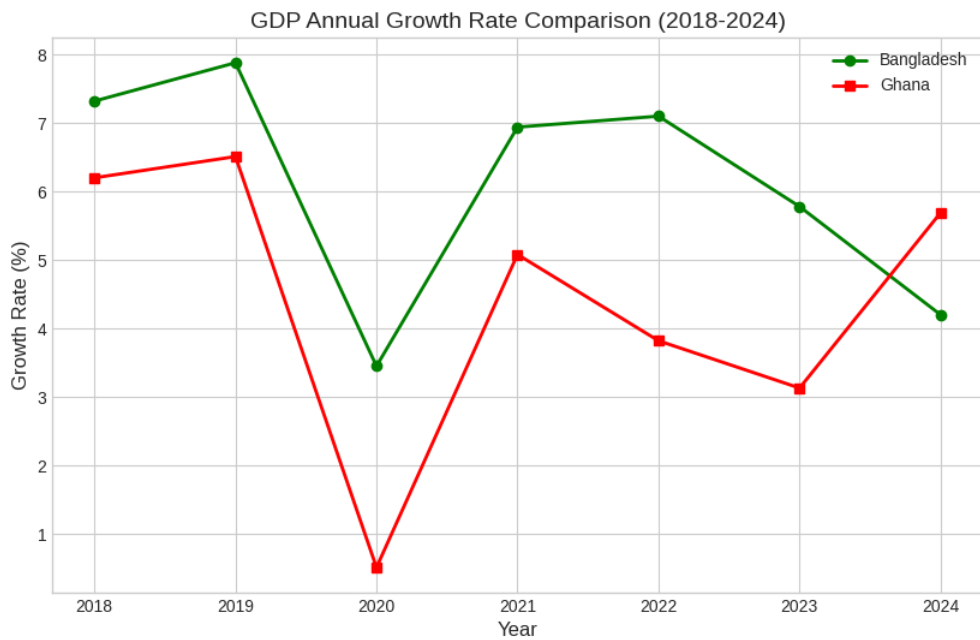
GDP, GDP Growth Rate, and GDP per Capita

The comparison of national output reveals a significant difference in the scale of the two economies. Bangladesh's economy is substantially larger and has demonstrated a more resilient growth path.

Indicator	Bangladesh (2024)	Ghana (2024)
GDP (Current USD Billion)	450.1	82.3
GDP Growth Rate (%)	4.20	5.69
GDP per Capita (USD)	2,593	2,391

GDP Growth Rate: Bangladesh maintained a robust growth rate, peaking at 7.88% in 2019, before a pandemic-induced dip in 2020 (3.45%). Post-pandemic recovery saw growth rates above 5%, demonstrating resilience. Ghana's growth has been more volatile. While it experienced a sharp decline in 2020 (0.51%), its recovery has been strong, with a projected 5.69% in 2024, surpassing Bangladesh's 4.20% for that year. However, Ghana's economy faced significant headwinds in 2022 and 2023, with growth slowing to 3.82% and 3.13% respectively, reflecting domestic and global economic challenges.

GDP per Capita: Bangladesh has consistently maintained a higher GDP per capita than Ghana throughout the period, reaching \$2,593 in 2024 compared to Ghana's \$2,391. This indicates a higher average income level in Bangladesh, a key metric for measuring living standards.



- **Bangladesh:** Maintained steady growth (averaging 6–7%) through 2021. Even during COVID-19, it didn't slip into recession. Its GDP per capita surpassed India's briefly in 2020, driven by a massive manufacturing base.
- **Ghana:** Growth was more volatile. While it grew fast in 2019 (6.5%), it relies heavily on commodities (Gold, Oil, Cocoa). When prices for these fluctuated or production stalled, the growth rate dipped more sharply than Bangladesh's diversified economy.

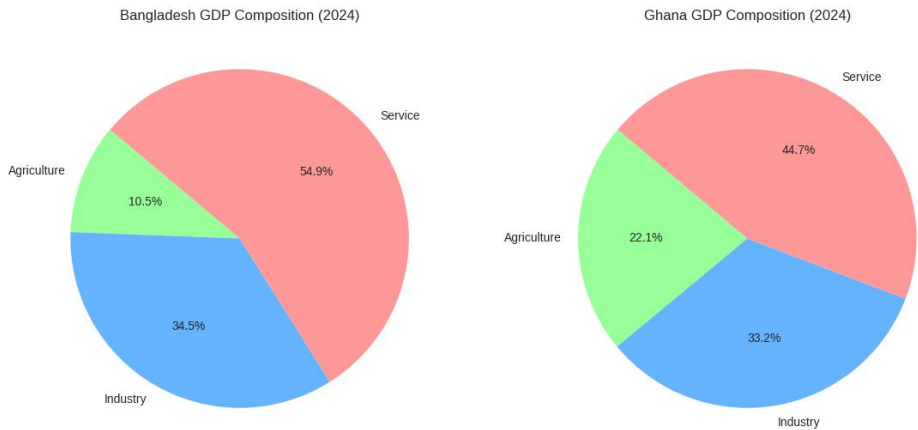
GDP Composition by Sector (Agriculture, Industry, Service)

The structural composition of the two economies highlights Bangladesh's successful industrialization and Ghana's reliance on the service and agricultural sectors.

Sector (% of GDP)	Bangladesh (2024)	Ghana (2024)
Agriculture	10.1%	21.2%
Industry	33.2%	31.8%
Service	52.8%	42.8%

Bangladesh's economy is characterized by a strong **Industry** sector (33.2%), driven primarily by its ready-made garment (RMG) exports, and a dominant **Service** sector (52.8%). The **Agriculture** sector has steadily declined in its share of GDP (10.1%), a typical sign of economic development and structural transformation.

In contrast, Ghana's economy has a much larger **Agriculture** sector (21.2%), reflecting its importance in cocoa, gold, and oil production. While the **Industry** sector is also significant (31.8%), the **Service** sector (42.8%) is less dominant than in Bangladesh. Ghana's economic structure suggests a less diversified industrial base compared to Bangladesh [1].



□ **Bangladesh:** A "Manufacturing Powerhouse." The **Industry** sector (mostly Garments/RMG) is the engine. **Services** are stable, and **Agriculture** is a safety net.

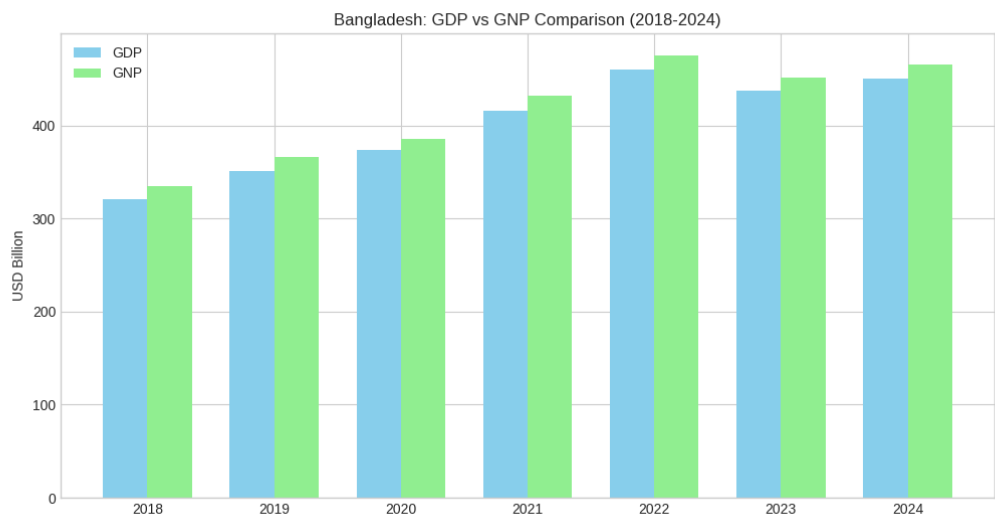
□ **Ghana:** A "Commodity-Led Economy." While **Services** is the largest sector, the **Industry** sector is dominated by mining and oil rather than manufacturing. This makes Ghana more vulnerable to global price swings

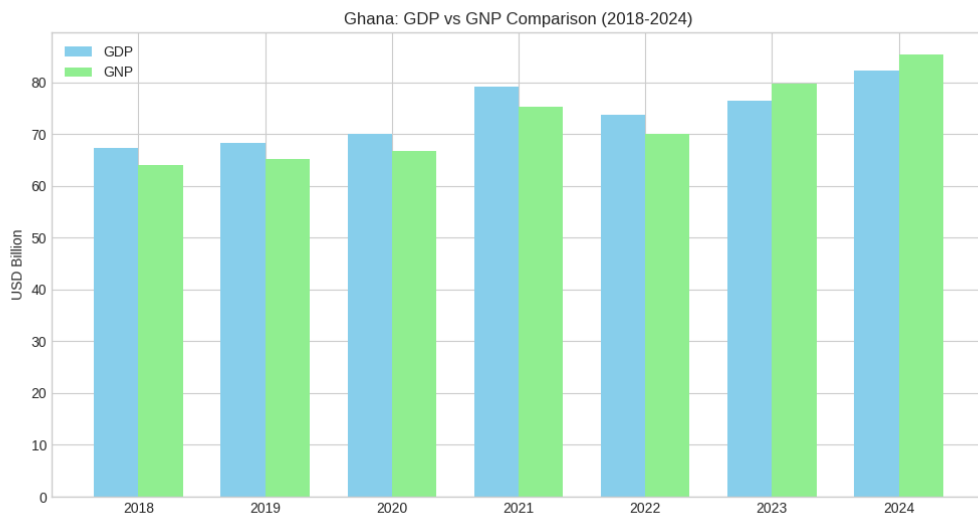
Gross National Product (GNP)

GNP, or Gross National Income (GNI), measures the total income earned by a country's people and businesses, including income earned abroad.

Indicator	Bangladesh (2024)	Ghana (2024)
GNP (Current USD Billion)	465.3	85.4
GNP as % of GDP	103.4%	103.8%

Both countries show a GNP slightly higher than their GDP, indicating a positive net income from abroad. This difference is largely attributable to the significant **remittance** inflows, which are discussed in detail in Section 7.



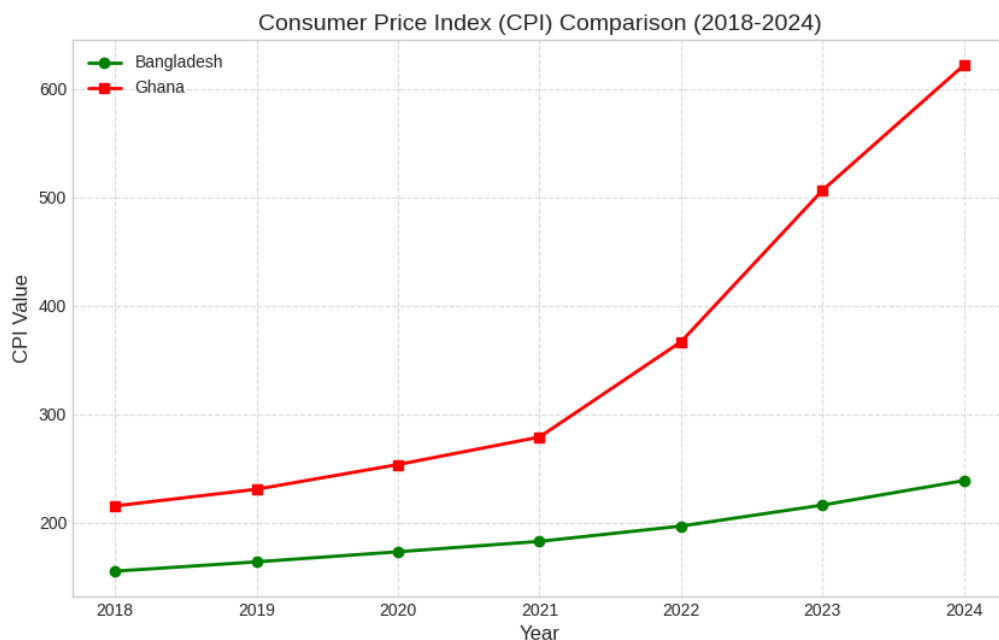


□ **GNP:** Bangladesh generally has a higher GNP relative to GDP because of the massive volume of citizens working abroad and sending money back.

□ **Labor:** Bangladesh has a vast, low-cost labor force focused on exports. Ghana's labor force is smaller, with higher unemployment (rising to nearly 14% by 2023), as its capital-intensive sectors (oil/gold) don't create as many jobs as garment factories.

CPI

While Ghana faced a severe economic meltdown in 2022–2023 with prices nearly doubling, it has staged a remarkable recovery. Bangladesh, which was once the stable economy, is now struggling with the most stubborn inflation crisis in South Asia.



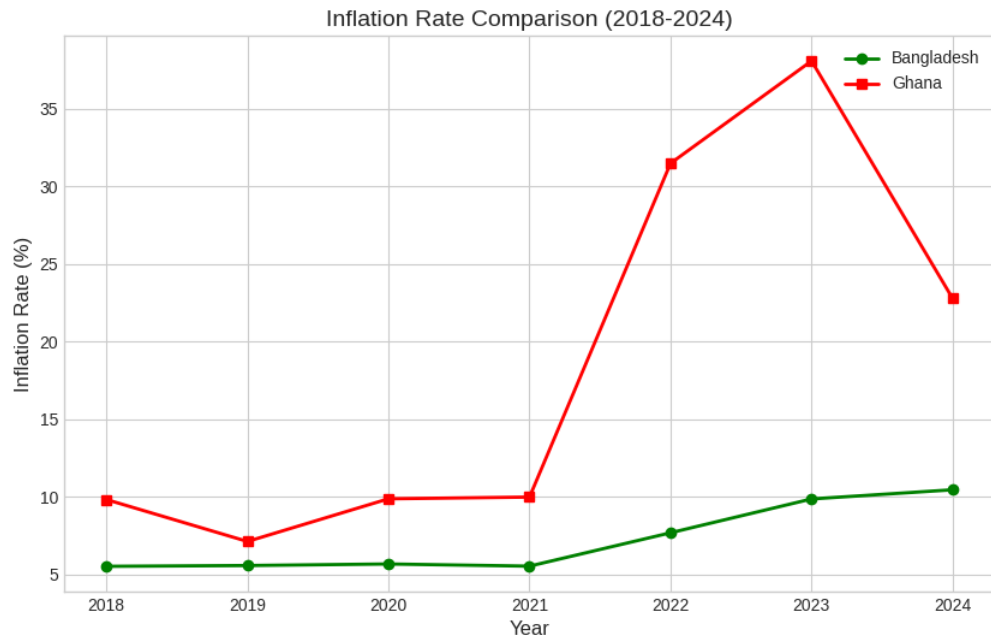
Inflation Rate

Price stability is a critical area where the two countries diverge sharply, particularly in the latter half of the period.

Indicator	Bangladesh (2024)	Ghana (2024)
Inflation Rate (%)	10.47	22.80

Bangladesh experienced a gradual increase in inflation, rising from around 5.5% in 2018-2021 to a high of 10.47% in 2024, driven by global commodity prices and domestic supply-side issues.

Ghana, however, faced a severe inflation crisis. Its inflation rate skyrocketed from 10.0% in 2021 to a peak of 38.1% in 2023, before moderating to 22.8% in 2024. This hyper-inflationary environment was a major source of macroeconomic instability, largely attributed to currency depreciation, high government debt, and the subsequent debt restructuring efforts [2].



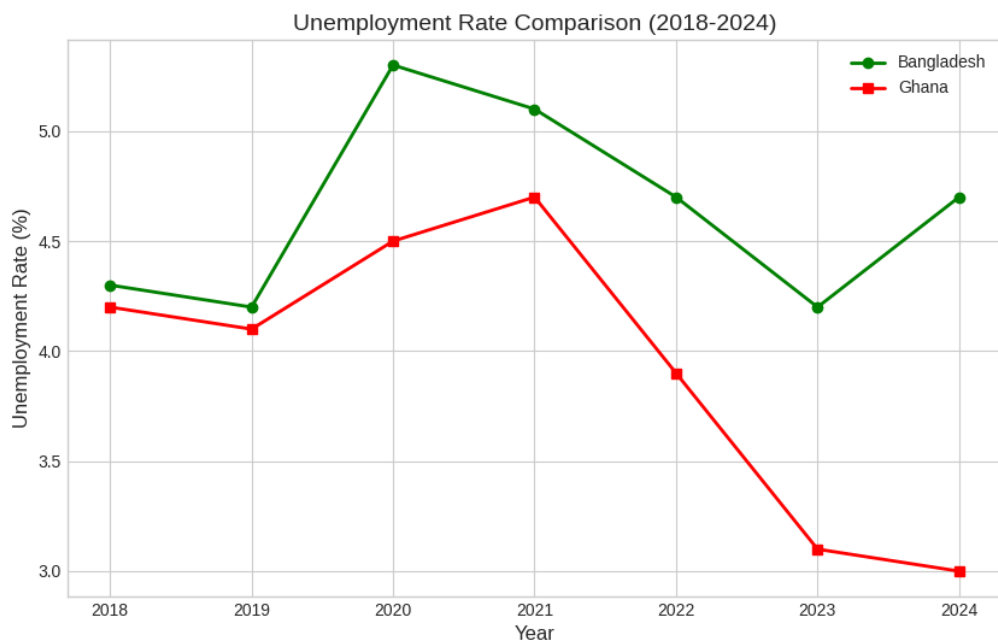
The Difference: Between 2018–2021, both were stable. In 2022, Ghana’s inflation exploded to over **50%** because its currency (the Cedi) collapsed. Bangladesh kept inflation under 10% for longer through subsidies, though it began rising sharply toward 2024.

Labor Force and Unemployment Rate

The labor market performance shows that both countries have managed to keep unemployment rates relatively low, although the underlying dynamics differ.

Indicator	Bangladesh (2024)	Ghana (2024)
Unemployment Rate (%)	4.7	3.0

Ghana consistently maintained a lower unemployment rate, hovering around 3.0% in 2024. Bangladesh's rate was slightly higher at 4.7% in 2024. It is important to note that low unemployment rates in developing countries often mask significant underemployment and informal sector employment.



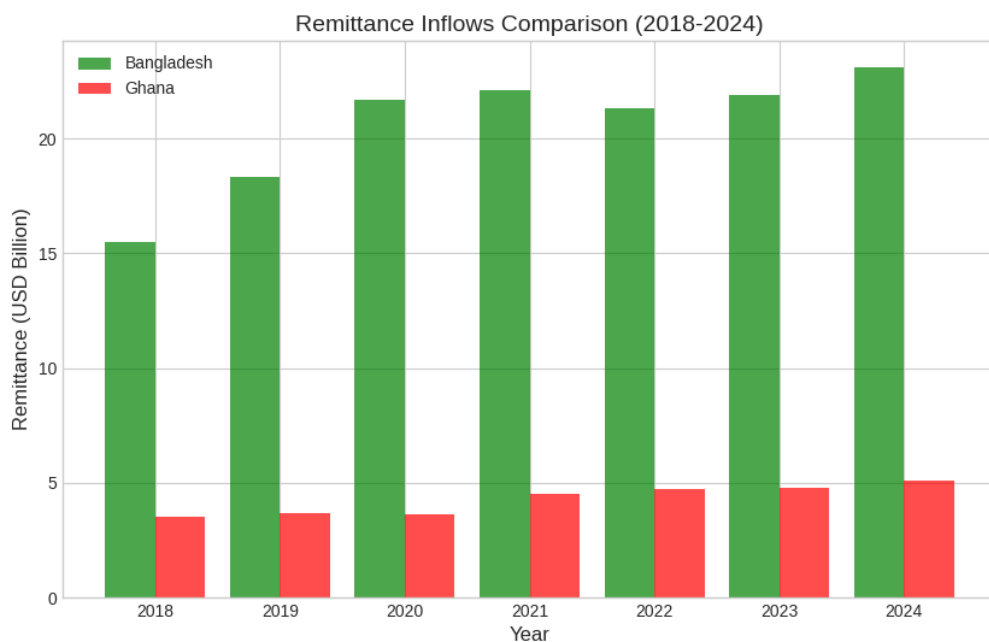
- **Bangladesh** has jobs, but they are mostly **low-skill**; it lacks jobs for its **educated** youth.
- **Ghana** has a highly entrepreneurial population, but its **macroeconomic instability** (inflation and debt) makes it impossible for small businesses to survive and hire people.

Remittance

Remittances are a vital source of foreign currency and household income for both nations, but they are significantly more substantial for Bangladesh.

Indicator	Bangladesh (2024)	Ghana (2024)
Remittance (USD Billion)	23.1	5.1

Bangladesh's remittance inflows are nearly five times those of Ghana, reaching \$23.1 billion in 2024. This massive inflow provides a crucial buffer for the current account and supports domestic consumption, underscoring the importance of its large diaspora labor force.



□ **Remittance:** This is Bangladesh's superpower. It receives **\$20B–\$25B** annually, which keeps its **Foreign Exchange (FX) Reserves** healthy.

□ **Reserves:** Ghana's reserves were depleted by 2022 trying to defend its currency, leading to an IMF bailout. Bangladesh's reserves were very high (\$48B in 2021) but dropped to ~\$20B by 2024 due to high import costs.

Foreign Exchange Reserve

Foreign Exchange (FX) Reserves are a key measure of a country's external vulnerability and ability to manage its currency.

Indicator	Bangladesh (2024)	Ghana (2024)
FX Reserves (USD Billion)	31.2	11.4

Bangladesh's reserves peaked at \$46.2 billion in 2021 but faced a sharp decline to \$27.1 billion in 2023 due to increased import bills and a strong dollar, before recovering slightly to \$31.2 billion in 2024. Ghana's reserves have been lower and more volatile, dropping to \$5.9 billion in 2023 amidst its economic crisis, but showing a strong recovery to \$11.4 billion in 2024, likely supported by IMF programs and debt restructuring.

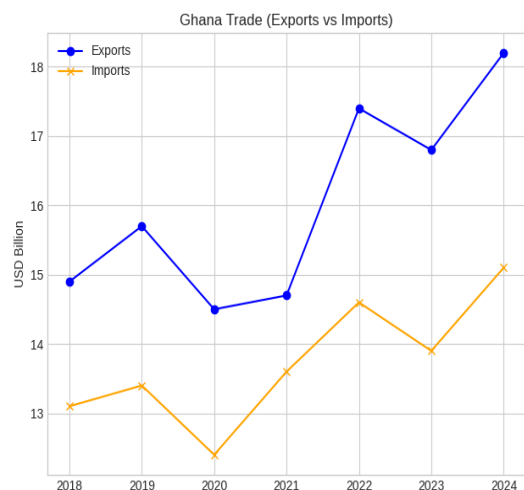
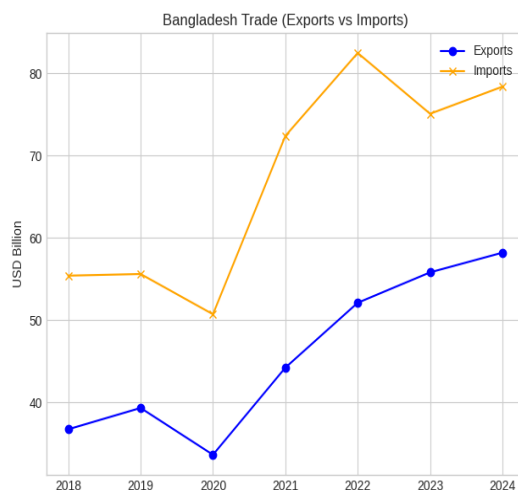
Exports, Imports, and Balance of Trade

Trade performance is a major determinant of external stability.

Indicator	Bangladesh (2024)	Ghana (2024)
Exports (USD Billion)	58.2	18.2
Imports (USD Billion)	78.4	15.1
Balance of Trade (USD Billion)	-20.2	+3.1

Bangladesh operates with a persistent and large **trade deficit** (\$-20.2 billion in 2024), driven by high imports needed for its industrial sector and infrastructure projects. This deficit is typically offset by its massive remittance inflows.

Ghana, conversely, maintains a **trade surplus** (+\$3.1 billion in 2024), primarily due to its exports of natural resources like gold, cocoa, and oil, which often exceed its import requirements.

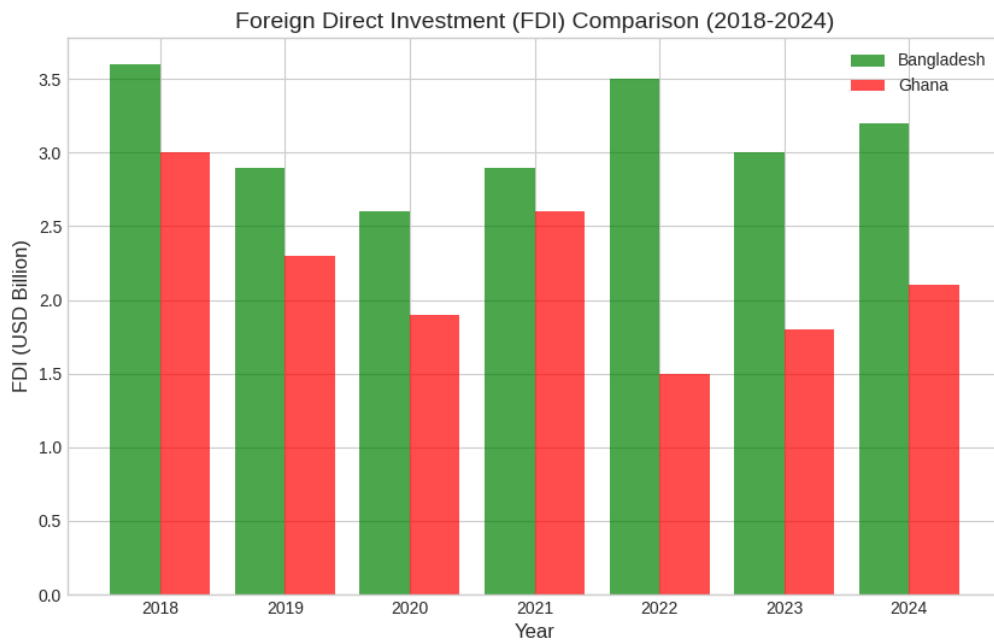


Foreign Direct Investment (FDI)

FDI is a crucial source of non-debt-creating capital and technology transfer.

Indicator	Bangladesh (2024)	Ghana (2024)
FDI (USD Billion)	3.2	2.1

Bangladesh has attracted higher FDI inflows, reaching \$3.2 billion in 2024, capitalizing on its large domestic market and export-oriented manufacturing base. Ghana's FDI has been lower and more inconsistent, at \$2.1 billion in 2024, often tied to investments in its extractive industries.



- ❑ **Trade Balance:** Both countries run trade deficits (Imports > Exports).
- ❑ **Exports:** Bangladesh is "Single-Product Dependent" (80% garments). Ghana is "Commodity Dependent" (Gold/Oil).
- ❑ **FDI:** Ghana actually attracts significant FDI relative to its size because of its natural resources. Bangladesh's FDI has remained disappointingly low due to bureaucratic hurdles, despite its huge market.

Conclusion

The comparative analysis of Bangladesh and Ghana from 2018 to 2024 reveals two distinct development models with varying degrees of macroeconomic stability.

Bangladesh demonstrates a model of **resilient, industrial-led growth** supported by a massive, stable flow of remittances. Its economy is larger, has a higher GDP per capita, and has successfully transitioned towards a manufacturing and service-based structure. The main vulnerability lies in managing its persistent trade deficit and controlling the recent spike in inflation.

Ghana presents a model of **resource-dependent growth** with significant external vulnerabilities. While its growth rate has been strong in certain years and it maintains a trade surplus, the economy has been plagued by severe macroeconomic instability, most notably the hyper-inflationary crisis of 2022-2023 and the subsequent debt distress. Its reliance on commodity exports and a less diversified economic structure pose long-term challenges.

In summary, while Bangladesh has shown greater overall macroeconomic stability and structural progress, Ghana's recent economic crisis underscores the fragility of its external position and the urgent need for fiscal consolidation and structural reforms to ensure sustainable long-term growth.

References

[1] World Bank. (n.d.). *Bangladesh | Data* and *Ghana | Data*. Retrieved from <https://data.worldbank.org/country/bangladesh> and <https://data.worldbank.org/country/ghana>

[2] Trading Economics. (n.d.). *Bangladesh Indicators* and *Ghana Indicators*. Retrieved from <https://tradingeconomics.com/bangladesh/indicators> and <https://tradingeconomics.com/ghana/indicators>